



to charity. Any tax owing is paid directly from the estate to HMRC by the executor of the will.

As an incentive to those with large houses and grown children that have left home, the government offers an inheritance tax credit to property owners who sell and trade down to smaller properties, as long as the bulk of their estate is left to their descendants. If the deceased passes on the family home to a spouse, no inheritance tax is due. A seven-year rule applies to any gifts of more than £3,000 per year given to direct descendants. If the deceased dies within seven years of making the gift, a sliding tax rate applies based on the number of years that have passed since the gift was made.

### Tax on digital currencies

The UK government is still developing a full policy on the regulation of bitcoin and other digital currencies. Up until March 2014, VAT of 20 per cent was applied to bitcoin purchases, but it is now treated as personal money, like any other currency. That means that no VAT is payable when bitcoin is exchanged for sterling or other currencies. However, if goods or services are being provided, with payment made in bitcoin, VAT is applied as usual, if the provider is VAT registered.

Profit and loss on any capital gains made from buying and selling bitcoin is taxable like any other capital gain. Income earned in bitcoin is taxed at the usual rates for income and corporation tax.

Several online cryptocurrency exchanges operate from the UK, offering a virtual marketplace for buying and selling bitcoin. Bitcoin can be bought or sold with sterling or other key currencies, and some exchanges allow the purchase of digital currency with a debit or credit card. Bitcoin is traded on virtual exchanges, as well as some international stock exchanges, which means investors can treat it as they would any other currency, buying bitcoin in sterling, for example, and exchanging it later when the value of bitcoin is up against the pound.

## INHERITANCE TAX (IHT) RATES

Changes in inheritance tax thresholds take effect from April 2020. Different rates will apply to single people and married couples or civil partners.

### Single person

| Value of other assets | Value of family home | Value of the estate | IHT liability as of April 2020 |
|-----------------------|----------------------|---------------------|--------------------------------|
| £175,000              | £175,000             | £350,000            | Nil                            |
| £200,000              | £300,000             | £500,000            | Nil                            |
| £250,000              | £400,000             | £600,000            | £60,000                        |
| £400,000              | £600,000             | £1,000,000          | £200,000                       |
| £750,000              | £750,000             | £1,500,000          | £400,000                       |
| £1,000,000            | £1,000,000           | £2,000,000          | £600,000                       |

### Married couple

| Value of other assets | Value of family home | Value of the estate | IHT liability as of April 2020 |
|-----------------------|----------------------|---------------------|--------------------------------|
| £175,000              | £175,000             | £350,000            | Nil                            |
| £200,000              | £300,000             | £500,000            | Nil                            |
| £250,000              | £400,000             | £650,000            | Nil                            |
| £400,000              | £600,000             | £1,000,000          | Nil                            |
| £750,000              | £750,000             | £1,500,000          | £200,000                       |
| £1,000,000            | £1,000,000           | £2,000,000          | £400,000                       |